

The Carve-Out Day 1 Readiness Checklist

A working checklist across HR, IT, Finance, Legal, Procurement, Facilities and TSA — with the readiness test that separates a completed task from an actually unblocked one.

BEFORE YOU START

Completion is not the same as readiness

Most carve-out checklists answer one question: has this task been done? That question matters, but it isn't the one that determines whether Day 1 actually works. A task can be finished by the team that owns it and still leave the business unable to operate, if the thing that task was supposed to unblock for someone else hasn't actually landed.

This checklist is built around four questions for every material item, not one:

Complete

Has the work itself been performed?

Evidenced

Is there objective proof it works, not just an assertion?

Unblocked

Are the prerequisites genuinely resolved, not just scheduled?

Ready

Can the downstream outcome now actually happen?

Use the working table on the following pages exactly this way: for each item, don't just mark it done. Note the evidence that proves it, and who has confirmed the downstream dependency is actually clear. That distinction is what separates a checklist you can trust from one that just looks complete.

WHAT THE DATA SAYS

Companies with a profitability drop >3.3pp in year 1 post-divestiture	51%
One-off separation costs, typical range (BCG, 50+ divestitures)	1-5% of revenue
Complex/large carve-out separation costs	10%+ of revenue

SECTION 1

HR & People

Item	Evidence Required	Owner	Status / Notes
Final transferring population signed off	HR + Finance joint sign-off document	_____	_____
Transfer / re-hire contracts countersigned	Return-rate against target threshold	_____	_____
Payroll parallel run reconciled	Reconciliation report, variance within tolerance	_____	_____
Employee-representation / consultation completed	Statutory notice periods satisfied, documented	_____	_____
Benefits and plan rationalisation confirmed	New plan active, enrolment confirmed	_____	_____
Manager toolkits and communications distributed	Distribution confirmation, not just "sent"	_____	_____

SECTION 2

IT & Systems

Item	Evidence Required	Owner	Status / Notes
Critical applications passed UAT	Test results against defined acceptance criteria	_____	_____
User access provisioned	Role-based access control validated, not just enabled	_____	_____
Identity / SSO migration complete	Independent authentication confirmed	_____	_____
Cutover and rollback plan approved	Signed plan with a defined go/no-go gate	_____	_____
Data migration validated	Data integrity check against source	_____	_____

SECTION 3

Finance

Item	Evidence Required	Owner	Status / Notes
Bank accounts operational	Confirmed via a real test transaction	_____	_____
Opening balance sheet process agreed	Signed off by both parties where relevant	_____	_____
Standalone AP/AR operating model functioning	Live transaction processed end-to-end	_____	_____
Carve-out financial statements prepared	Reconciled against parent allocation basis	_____	_____
Data retention and audit trail confirmed	Retention policy active, tested for retrieval	_____	_____

Worth separating two things that get conflated: carve-out financial reporting and standalone finance readiness are related but different problems. Historical statements can often be derived from parent records and allocations. Day 1 operational readiness is a separate question — whether the new entity can actually close its books, manage cash, and produce management information without leaning on processes disappearing with the parent.

SECTION 4

Legal & Procurement

Item	Evidence Required	Owner	Status / Notes
NewCo entities operational in every jurisdiction	Registration confirmation per entity	_____	_____
Critical permits and licences transferred	Copy of transferred/reissued documentation	_____	_____
Critical contracts classified and actioned	Assigned, replaced, or TSA-covered — not "pending"	_____	_____
Change-of-control consents resolved	Written consent, or documented fallback plan	_____	_____

SECTION 5

Facilities, TSA & Operations

Item	Evidence Required	Owner	Status / Notes
Sites accessible and secured under new badging	Physical access test performed	_____	_____
TSA services, owners, SLAs and exit dates documented	Complete service catalogue, not partial	_____	_____
Stranded-cost action plan active on seller side	Named owner, tracked against exit calendar	_____	_____
Critical Day 1 processes rehearsed	Mock run completed, not just planned	_____	_____

SEQUENCING

Start with what you can't compress

Entity formation, regulatory approvals, permits, and statutory consultation periods often contain waiting periods that no amount of extra resource shortens. Identify these first — they set the actual floor on your timeline, regardless of how well-resourced everything else is.

Phase	What Should Already Be Underway
Well before close	Entity structuring, permits, procurement contract classification, TSA scoping, carve-out financial statement prep
Final months	Payroll/HRIS cutover testing, IT cutover planning, banking setup, statutory consultation processes
Final weeks	UAT, badge/facility access deployment, manager toolkits, payroll parallel run
Day 1	Cutover execution — shift from planning to live operation

This checklist reflects the same operating logic behind the Day 1 readiness and TSA modules of the MeridianCogent platform. Using this document requires no software — it's built to be useful with a spreadsheet and a disciplined owner.

Sources: Deloitte, "Day One Readiness: Enabling Business Continuity Through Effective Operational Readiness"; Umbrex, "Checklist: HR-Related Actions for Day 1 Readiness"; PwC, TSA exit value analysis; BCG, separation cost research across 50+ divestitures; McKinsey, "Solving the carve-out conundrum." Full sourced articles at meridiancogent.com/resources.

WHAT WE DO

The execution layer for M&A separations and integrations

A carve-out is scope, obligations, contracts, costs, systems, people and dates, all moving at once and depending on each other. MeridianCogent holds them in one place, and shows which commitments are still real.



- The perimeter register — what transfers, what is retained, and what remains disputed
- Obligations, conditions precedent and the consent register
- TSA exposure, step-up pricing, and exit-risk modelled against real dependencies
- Systems and decommission sequencing tied directly to Day 1 readiness
- A synergy ledger, integration budget and cost-to-complete tracking
- An append-only decision record — a named human behind every material number
- Programme-scoped access, built for deals that are not public yet

Built for separation offices, integration and PMI teams, corporate development running several deals at once, and the advisors and counsel working alongside them — buy-side and sell-side, corporate and sponsor.